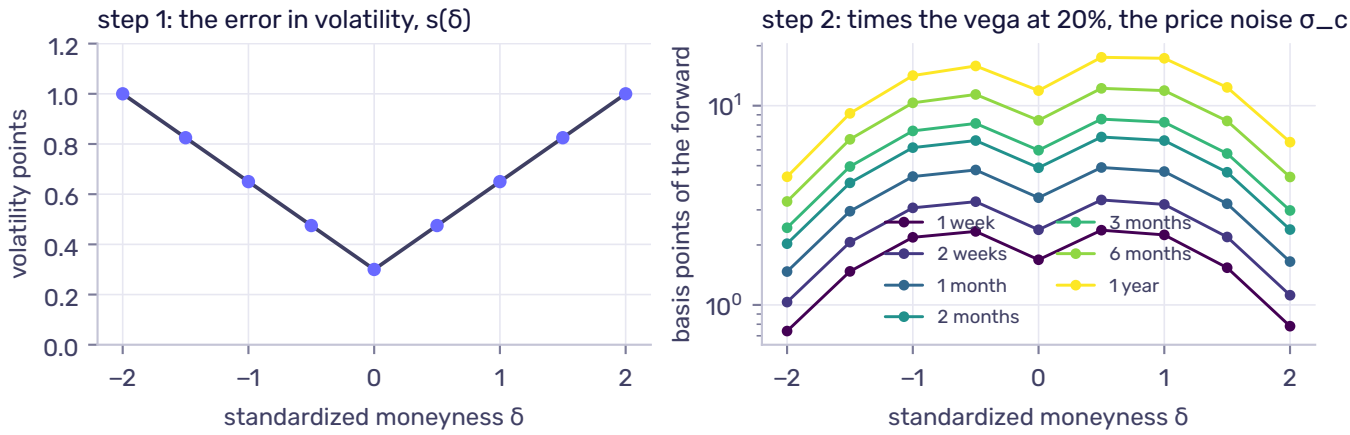
step 1: the error in volatility, s(δ)
volatility points
1.2
1.0
0.8
0.6
0.4
0.2
0.0
−2
−1
0
1
2
standardized moneyness δ
step 2: times the vega at 20%, the price noise σ_c
basis points of the forward
10^1
10^0
1 week
2 weeks
1 month
2 months
3 months
6 months
1 year
−2
−1
0
1
2
standardized moneyness δ